SUBJECT: Procurement and Contracts

RELATED DOCUMENTS

Tenders, Auctions, and Warehouses Manual issued pursuant to Law Number No. (6) of 2008 (as amended); KUP 6050 Banking and Treasury (Petty Cash); KUP 6300 Accounts Payable; KUP 6500 Fixed Assets; KUP 6510 Inventory; HR Policy Manual, Chapter 9 Employee Relations, Section 02 University Code of Conduct; HR Policy Manual, Chapter 9, Section 04 Disciplinary Code.

SECTION 1 POLICY STATEMENT

1.1. Khalifa University of Science and Technology's (KU) Procurement and Contracts role is performed in an open, fair and transparent manner where goods and services are acquired competitively and all transactions yield the optimal benefit to the university.

1.2. KU aspires to highly ethical, legal, environmental, managerial and professional standards in the management of the resources entrusted to it.

1.3. The purchase of goods and services by Khalifa University of Science and Technology is a competitive process conducted in an efficient and cost-effective manner to ensure that the highest quality of goods and services are procured at an efficient overall cost.

SECTION 2 SCOPE AND APPLICABILITY

2.1. This policy document governs the acquisition of services with Khalifa University's funds from all sources including the operating, capital, research, ancillary, and all other funds held in trust or at its disposal.

2.2. Services excluded from the scope of this policy document are:

- 2.2.1. Employment contracts, and service contracts with individuals or legal entities if the contract subject is a specific experienced and qualified individual and whose salary the University defines.
- 2.2.2. General and administration expenses for non-predefined technical specifications such as electricity and water and telephone expenses, amd accommodation rentals provided to the employees of the University, which are governed by the housing policies.
- 2.2.3. Any other exceptions approved by Senior Management.
- 2.2.4. Personnel Services, such as training courses and conferences.
- 2.2.5. Governmental registration and licensing.

SECTION 3 PURPOSE

3.1. The purpose of this policy document is to state the provisions that guide standardized processes and assure the efficient, cost-effective and timely procurement of the goods and services needed by Khalifa University of Science and Technology (KU).

3.2. This policy document governs KU's procurement of goods and services required by End User departments and provides provisions and guidelines to all personnel involved

in the procurement process; starting from the procurement demand plan until the requirement delivery and closure of the PO/Contract.

SECTION 4 DEFINITIONS AND ABBREVIATIONS

The following definition(s) apply to this policy document:

4.1. **Award Strategy:** The means of determining the approach that will be used to select the successful bidder. It may be "Single Source", "Technically Qualified and Commercially Lowest" or "Techno Commercial".

4.2. **ADERP:** Abu Dhabi Enterprise Resource Planning System. The ADERP based application includes standard applications such as Purchasing, Inventory, Order Management, etc.

4.3. **Annual Procurement Planning (APP):** The process used by the University to plan purchasing activity for a specific period of time. This is commonly completed during the budgeting process.

4.4. **Auction:** A method for selling or letting fixed assets, equipment, or damaged and obsolete materials by bids submitted by sealed envelope or by public auction under the responsibility of the Procurement & Contracts Department of KU.

4.5. **Bid/Offer:** A document issued by the Supplier or Contractor based on an Invitation to Bid issued by Procurement and Contracts, including specifications of the Procurement Items to be provided or works to be executed, prices, sale conditions, as well as delivery and payment conditions.

4.6. **Bid Bond:** A Bank Guarantee submitted with bids to assure serious participation in the tender.

4.7. **Bidder:** Any company with a valid license registered within the UAE or internationally which participates in any RFQ/ Tender.

4.8. **Bidders List:** The list of potential Registered Suppliers / Contractors from different sources considered for the provision of the Procurement Items through issuing an Invitation to Bid.

4.9. **Blanket Agreement (BA):** An agreement that covers a group or list of products or services against an agreed price for a fixed period based on which a Purchase Order is released without any management approval. Such Agreements may have a maximum cap on the financial limits based on the management approval.

4.10. **Catalogue Items:** Items setup in the ADERP System in such a way that they appear in a Catalogue for the requester to select from while creating requisitions**.**

4.11. **Closed Tender:** A tender floated to a number of registered Suppliers and Contractors to be selected in advance by the University to submit bids for the supply of the required items under terms and conditions stipulated by the University**.**

4.12. **Contract:** A legal document establishing the relationship between the government entity and the Supplier or Contractor either for the provision of services, performance of works or supply of items.

4.13. **Contractor/Supplier:** The successful bidder with which the University has established a Contract /LOA/NOA/PO.

4.14. **Delegation of Authority (DoA):** A document that establishes authorities and empowerment of different leadership and management levels of stakeholders (internally and externally) of Khalifa University of Science and Technology.

4.15. **Direct Order:** A method of purchase by which contracting is made directly to a Supplier without soliciting bids from a number of Suppliers.

4.16. **End User:** The person or unit authorized to requisition goods against a budget held by his/her department or request issuance of inventory from stores.

4.17. **e-Tender:** The process of managing a tender or Request for Quotations (RFQ) through an online portal. This includes identifying suitable suppliers, issuing the RFQ, receiving the quotation, evaluating technical and commercial bids and awarding to a qualified bidder. All of these activities will be done using a secured e-Tendering software / portal.

4.18. **Expression of Interest (EOI):** An Expression of Interest (EOI) refers to the process and document used to obtain information on the level of interest of a potential supplier in an approved procurement opportunity.

4.19. **Exception Report:** A form filled by an End User and approved as per the Delegation of Authority. The form includes justification for a Direct Purchase such as Single Source, a Contract extension, or other exceptional cases as applicable upon Procurement & Contract Department request. This report is not required for Single Source cases for which an official letter is provided from the supplier confirming the exclusivity of the goods/services.

4.20. **Goods Received Note (GRN):** An official document used for receipt and acceptance of goods.

4.21. **Inventory:** Inventory at KU refers to all items that are purchased and managed as stock at a central store and charged to the end user as and when an item is ordered from the store and issued to the end user.

4.22. **Item Master:** A function in the ADERP Inventory module where items are defined for the purpose of purchases, inventory, assets, and other functions in ADERP applications.

4.23. **Letter of Award (LOA):** An official notification to the Contractor informing them of an award.

4.24. **Obsolete Items:** Equipment and Materials which are expired / damaged or obsolete which are earmarked for sale by an auction or any other disposal method after being written off in the accounting books.

4.25. **Purchase Order (PO):** An approved document issued by the University to a supplier indicating types, quantities, agreed prices, terms and conditions for products to be provided.

4.26. **Purchase Requisition (PR):** A request raised by an End User for goods or services through the ADERP system.

4.27. **Request for Quotation (RFQ):** A written request/invitation sent to potential Suppliers and Contractors to obtain quotations for the purchase of specific and well defined specifications, provision of services or execution of works, where the price is a substantial factor upon which the offer shall be accepted and the Purchase Order, contract or Price Agreement shall be executed.

4.28. **Single Source:** A non-competitive procurement process where the University requests a proposal/quotation for goods/services from one source (vendor).

4.29. **Single Source Supplier/Contractor:** An exclusive agent or sole distributor of a commodity or service.

4.30. **Scope of Work (SOW):** The document describing the required Procurement Items including their specifications, need-by-date, duration, quantities, performance criteria, as well as health, safety, sustainability, quality, and other minimum requirements as applicable.

4.31. **Tender:** A method of purchase upon which the purchase of items with a value exceeding AED 250,000 and with certain specifications is processed by inviting bids from several sources through sealed submission.

4.32. **Tender & Auction Committee (TAC):** A Khalifa University of Science and Technology standing committee responsible for providing assurance over the enforcement and conformance with existing university procurement policies and procedures for specific contracting cases.

4.33. **Tender Open Committee:** A Khalifa University standing committee responsible for open all the envelopes of the materials, services, contracts and auctions with a value in excess of AED 250,000.00.

4.34. **The Government:** The Government of Abu Dhabi Emirate.

4.35. **The University/ Khalifa University:** Khalifa University of Science and Technology.

4.36. **Variation Order (VO):** A documented commitment to a change or variation of the scope, schedule, pricing, terms and conditions or any element of an existing Contract. This can be positive, negative or zero cost impact.

SECTION 5 PROVISIONS AND GUIDELINES

5.1. Khalifa University of Science and Technology (KU) personnel and departments adhere to well established and communicated provisions and guidelines when procuring goods or services. The specific detailed procedures to be followed are published in separate procedures manuals, which are available through the university Intranet site.

5.2. Personnel who violate this policy or its provisions will be held personally liable for expenditures incurred and may be subject to further disciplinary action as per the University Disciplinary Code.

5.3. *Annual Demand Plan*

5.3.1. All academic, non-academic and administrative departments prepare a procurement plan for goods/services according to the Annual Procurement Plan template provided by the Procurement and Contracts (P&C) Department.

5.3.2. The department demand Plan should be approved by both the End User's department and the Procurement and Contracts Department.

5.4. *Vendor Registration and Pre-Qualification*

5.4.1. The P&C department only deals with contractors/suppliers registered in the ADERP system and accepted and pre-qualified by KU.

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5.5. *Supplier Performance Analysis*

5.5.1. The P&C department monitors and manages vendor compliance to ensure maximum operational effectiveness, cost efficiency and value for money.

5.6. *Pre-RFQ Stage*

5.6.1. Request for Information (RFI)

5.6.1.1. RFIs are used to gather general supplier, product and/or service information.

5.6.2. Request for Budget (RFB)

5.6.2.1. Requests for Budget (RFB) are raised by the End User prior to or during the annual budgeting process for both Capital Expenditure and Operation Expenditure items. The budgeting process is managed by the Finance.

5.6.3. Preparation of a Purchase Requisition (PR)

5.6.3.1. Each PR shall include all relevant attachments such as the Technical Evaluation criteria, name of technical evaluators, scope of work, specifications, bases of price estimation, and proposed award strategy.

5.6.3.2. If the requirements includes 'installation' services or civil works, then the following additional shall be considered while raising the PR:

- Approval must be obtained for any required space utilization,
- Any room utility, and/or environmental system modification work must be recognized and planned; and,
- The total costs of equipment and installation must be recognized and funding identified.

5.6.3.3. The PR and all its attachments shall be approved as per the Delegation of Authority.

5.6.3.4. Materials, services, or works requisitions many not be divided nor awarded or broken by any other dividing means for the purpose of circumventing or avoiding rules and procedures of this policy. Dividing any requisition requires endorsement of the Tenders and Auction Committee as per the Delegation of Authority.

5.7. *Award Strategies*

5.7.1. Single Source

5.7.1.1. Single source strategy may be selected for one of the following reasons;

- One of a kind;
- Compatibility;
- Product matches existing machine;
- Item standardization;
- Replacement Part; or
- Project or research Continuity, etc.

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5.7.2. Technically Acceptable and Commercially Lowest

5.7.2.1. This strategy will apply for all competitive bidding in which commercially lowest bid(s) among the technically acceptable will be consider for award.

5.7.2.2. If it is beneficial to Khalifa University, the award can be split among the qualified and lowest bidders.

5.7.3. Techno-Commercial

5.7.3.1. This strategy will apply for technically complex requirements where technical aspect of the PR has more importance than the commercial component. This approach shall not be used for a regular low commercial requisition where the technical aspect in terms of value is lower than the commercial aspect for the university.

5.7.3.2. Even though the User may recommend the technical and commercial evaluation scores, the final decision on the scores shall be decided by P&C.

5.8. *RFQ Stage*

5.8.1. Expression of Interest (EOI)

5.8.1.1. Potential vendors may be contacted with the scope of work/ specification to express their interest to participate in an RFQ, vendors that respond positively are included in the bidders list of the particular RFQ.

5.8.2. Bidders List and Award Strategy

5.8.2.1. The bidders list can be prepared based on the result of an Expression of Interest, a market survey or a past bidding reference. The bidders list, Award Strategy and RFQ/Tender details are approved according to the Delegation of authority matrix.

5.8.2.2. No tender shall be issued unless against proposed budget funds be incorporated in the draft budget.

5.8.3. Request for Quotation (RFQ)/Tender

5.8.3.1. For purchases below or equal to AED 250,000, the RFQ shall be issued to potential Suppliers and Contractors to obtain both technical and commercial quotations The price shall be a substantial factor upon which the offer is accepted and the Purchase Order, contract or Price Agreement executed.

5.8.3.2. For purchases exceeding AED 250,000 Tender shall be issued by inviting bids from several sources through sealed envelopes or electronically opened by the Bids Opening Committee.

5.8.3.3. RFQ/Tender documents are worded so as to permit and encourage competition and set forth clearly and precisely the goods or services to be supplied, the place of delivery or installation, the schedule for delivery, minimum performance requirements, and warranty and maintenance requirements, as well as any other pertinent terms and conditions.

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5.8.3.4. All prospective bidders shall be provided with the same information and shall be assured of equal opportunities to obtain additional information on a timely basis.

5.8.4. Tender Clarification

5.8.4.1. Changes in the RFQ/TENDER terms, quantities, technical specifications, delivery schedule, and date of submission or clarification of ambiguity or errors in the RFQ/TENDER documents shall be communicated to all bidders by procurement department only. End user or bidders are not allowed to interact with each other without involvement of Procurement.

5.8.4.2. Clarifications that cause an impact on the priced bids require that the relevant Procurement and Contracts officer request for the re-submission of commercial bids from all bidders. If a bidder would like to maintain the initial commercial bids without any impact, they should confirm the same via the online portal, email or any other authorized mode of communication.

5.8.4.3. No clarification may be made to the technical specifications without approval from the End User in coordination with the P&C.

5.8.5. Bid Submission Extension

5.8.5.1. A bidder request for an extension to the Bid Closing Date may only be considered if the respective RFQ/Tender has a provision for possible extension mentioned in the terms and conditions. A bidder(s) request must be received be prior to the bid closing date.

5.8.5.2. In such an event, any vendors who have already submitted their Quotations should be given the option of resubmitting their bid.

5.8.6. Bids/Quotations

5.8.6.1. At least three bids or quotations should be solicited from the prequalified approved list of bidders.

5.8.6.2. If three bids are not received during the RFQ/TENDER,

- For a PR valued below AED 25,000, the respective officer may process with less than three (3) bids, which may be accepted or rejected by the line manager.
- For a PR valued between AED 25,000 – AED 250,000, the respective officer may request the line manager/director to proceed to awarding with less than three (3) bids. Approval must be as per the Delegation of Authority.
- For a PR valued above AED 250,000, re-tender of the same PR is required if the three (3) bids were not obtained. If the required number were not obtained during the tendering or retendering process, the respective officer may request management approval to proceed to awarding with less than three (3) bids. Approval must be as per the Delegation of Authority.

5.8.7. Re-Tender/Revised Bids

5.8.7.1. The P&C may request Re-Tender/revised bids from all vendors if the quotes originally submitted are deemed excessive in price or substantially different from the defined scope of work in the contract.

5.8.7.2. The P&C should not disclose prices or other details of original bids received when requesting revised bids from bidders. In the event that the Procurement Officer requests revised bids from vendors, the P&C must document the reasons for requesting revised bids.

5.8.8. Bid Evaluation

5.8.8.1. Technical Evaluation

- Technical Evaluation shall only be carried out by the End User section in accordance with the approved technical evaluation criteria submitted while raising the PR. For this purpose, consideration shall be given compliance with tendered specification, past experience in similar works, credibility, logistics including equipment and warehouses and technical and management staff, quality and initiatives issues, compliance with environment and health and safety requirements, and any other elements as applies to the business type.
- The End User shall provide mandatory justification for any disqualification of a bidder in the technical evaluation.
- A minimum of three (3) bidders should be technically qualified in order to proceed with commercial evaluation. If the End User qualifies less than three (3) bidders due to justified and genuine reasons, then approval as per DOAM shall be obtained.

5.8.8.2. Commercial Evaluation

- The commercial evaluation shall be carried out for the technically accepted bid in accordance with the approved award strategy by the P&C for materials and services. For this purpose, consideration shall be given to prices, indirect costs such as maintenance and spare parts and warranty and any other elements as applies to the business type.

5.8.9. Award Approval

5.8.9.1. The award approval shall be processed based on Delegation of Authority.

5.8.9.2. All cases above AED 250,000 require T&AC review and endorsement, before submitting to the approval authority.

5.9. *Award/ Commitment Stage*

5.9.1. Issuing PO/Letter of Award/Contract

5.9.1.1. The mandatory requirements for generation of a PO / Letter of Award are:

- The price of the winning supplier/contractor's final offer should be valid.

- The company registration in the systems should be valid and active.
- The PO/Letter of Award should be signed-off or authorized as per the Delegation of Authority.
- No contract shall be awarded unless an approved budget is confirmed by the End User. In case of contract period that extends beyond the current financial year, arrangements should be taken to incorporate necessary budget funds for it in the following years.
- Performance Bond, if any, shall be applicable.

5.9.2. Performance Bond

5.9.2.1. The performance bond should be valid for the entire period of the contract plus three months. A further one year should be added to the performance bond validity period for works (projects) contracts effective from the provisional completion date at 5% of the total contract value as a security during the maintenance period.

5.9.2.2. The performance bond amount should not be less than 5% and not more than 10%.

5.9.2.3. No interest shall be charged for performance bonds.

5.9.2.4. No performance bond is required for Purchase Orders and services and works contracts with value not exceeding AED 250,000 (as needed).

5.9.2.5. Studies, management and financial consultancy contracts may be exempted from the performance bond subject to approval of Tenders and Auctions Committee.

5.9.2.6. The University may exempt the successful bidder from submitting the performance bond:

5.9.2.6.1. If the supply or work performance period in the contract does not exceed 15 days from the date of signing thereon, provided that the validity period of the bid bond shall be extended to cover the performance of the contract if its term is not sufficient;

5.9.2.6.2. If the materials have been delivered of (and) work has been performed;

5.9.2.6.3. If the successful bidder has entitlements with the University equal to or more than the value of the performance bond, an amount equal to the value of the performance bond shall be retained from its entitlements subject to submission of a request by the successful bidder to the P&C.

5.9.3. Contract/PO Preparation and Approval

5.9.3.1. The contract/ PO shall be signed by the University according to the authority delegation system or equivalent. All contract pages and attachments shall be initialed by the Contractor, the End User Section Head and the Contract Administrator at the University.

5.9.4. Negotiation

5.9.4.1. For all cases up to AED 250,000 - the respective officer (Procurement/Contracts) with authorization from their respective line manager/ Head shall carry out negotiations.

5.9.4.2. For all cases above AED 250,000 - the respective officer (Procurement/Contracts) in coordination with their respective line manager/Head, and authorization from Tender and Auction Committee shall carry out negotiation.

5.10. *Post-Award Stage*

5.10.1. Successful Bidder Withdrawal

5.10.1.1. If the successful bidder withdraws their offer, fails to respond or acknowledge the PO/Letter of Award, or fails to submit the Performance Bond during the specified period mentioned in the PO/Letter of Award, then;

- The award is cancelled and the next eligible bidder (based on the award strategy) is approached for award, or
- The tender will be kept active and reviewed to select a new bidder to perform at the cost of the withdrawing successful bidder according to the provisions thereof.

5.10.2. PO/ Contract Administrator

5.10.2.1. The PO/ Contract Administrator shall be the representative of Khalifa University of Science and Technology who is authorized to deal with the Contractor/Supplier including all elements of the PO/ Contract excluding commercial and contractual issues. Any or all commercial and contractual issues should be discussed by the respective officer or relevant P&C personnel.

5.10.3. Payment Terms

5.10.3.1. Khalifa University of Science and Technology standard payment terms are as per finance department policies (see *KUP 6300 Accounts Payable*).

5.10.3.2. If a supplier requests payment terms different from the standard, approval may be made as per the DoA.

5.10.4. Advance Payment

5.10.4.1. The PO/Contract may include provisions for advance payments, which shall be as per DoA. Advance payments may be against a bank guarantee subject to mutual agreement between the parties (Supplier/Contractor and the University). Approval of advance payment shall be in accordance with the Delegation of Authority.

5.10.4.2. The contract may include provisions for advance payments. In all cases, advance payments shall be against a bank bond as per the finance policy.

5.10.5. Variation Order

5.10.5.1. Any amendments to the contract as to the quantity, specifications or otherwise with positive or negative impact shall be carried out through a Variation Order by consent of both parties and approval by the appropriate authority level as per the authority delegation system.

5.10.6. Termination/Cancellation

5.10.6.1. Termination/Cancellation may occur when the Contractor/Supplier fails to perform the agreed services or provide the agreed goods, or if the End User decides not to procure the order items/services. In such cases the Contract/ PO/ will be terminated or cancelled fully or partially, in accordance with the terms and conditions of the Contract/PO.

5.10.6.2. Approval is required for termination/cancellation of an Contract/PO as per the DoA.

5.10.7. Emergency Enquiries

5.10.7.1. A "Direct Order", upon approval as per the Delegation of Authority, may be issued to handle emergency purchases. However, for values exceeding AED 250,000, the Tender & Auctions Committee endorsement must be obtained.

5.10.8. Petty Cash Purchases

5.10.8.1. Petty Cash purchases shall be permissible as per the petty cash provision of *KUP 6050 Banking and Treasury, para 5.7* and in following cases:

- Procurement of small value goods/services up to AED 1,000 or as per the DOA;
- Vital and Emergency purchases;
- Vendor's who demand Cash Payment; or
- Upon approval by the Director of Procurement and Contracts

5.10.8.2. Petty Cash purchase requests shall be made using the Petty Cash Request Form (PCRF) through the document management system or by a memo if detailed justification is required.

5.10.8.3. Petty Cash purchases which are processed through P&C must be approved by the Director of Procurement

5.10.8.4. Only non-stock items can be purchased through petty cash.

5.10.8.5. Purchases shall not be split to avoid/ bypass the limits for petty cash.

5.10.9. Online Purchases

5.10.9.1. PRs shall be processed by P&C as per the normal purchasing procedures and approvals. All online purchases will be issued as a Credit Card Purchase Order.

5.10.9.2. Online purchases can be made for a maximum limit as designated in the Delegation of Authority.

5.10.9.3. All online purchases are made via a university issued credit card in the name of the Director of P&C.

5.10.9.4. P&C has the right to review and audit the credit card purchase statement as and when required by the Finance Department.

5.11. *Support Committees*

5.11.1. Bid Opening Committee

5.11.1.1. The Bid Opening Committee is responsible for opening both Technical and Commercial bids submitted by the bidders in Tender process. The opening shall be made physically or remotely over the approved ADERP system.

5.11.2. Tender and Auction Committee

5.11.2.1. The Tender and Auction Committee maintains, monitors and controls the KU's overall requisition and purchasing processes and ensures compliance with sound commercial and procurement procedures, as issued and from time to time modified by the management of Khalifa University.

5.11.2.2. The Tender and Auction Committee acts as an advisory body to the senior management. The committee reviews submissions covered by the Tender and Auction Committee Terms of Reference, either endorsing or rejecting the same.

5.11.3. Technical Evaluation Committee

5.11.3.1. The End User, in accordance with the approved technical evaluation criteria submitted while raising the PR., shall carry out the technical evaluation. The End User shall complete the technical evaluation process manually or via the ERP system.

5.11.3.2. Failure to complete the technical evaluation within a pre-defined timeframe will result in cancellation of the RFQ/Tender and return of the PR to the End User, unless the delay is justified and approved by the delegated P&C personnel.

5.12. *Risk Management*

5.12.1. Bid Bond

5.12.1.1. No bid bond is required for the tenders with a value of not more than AED one million.

5.12.1.2. The bid bond may be required through a bank guarantee, at the Purchases Section or equivalent discretion for the tenders of a value in excess of AED one million. The value of bid bonds shall be a lump sum amount according to the tender value.

5.12.1.3. The Bid Bond shall be valid for a period of one hundred and twenty (120) days from the date fixed for submission of the Tender.

5.12.1.4. The successful Tender(s) shall extend the validity of the Bid Bond until receipt by the university of the Performance Bond for the amount to be defined at the time of Contract signing, for cases where Performance Bond is applicable

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5.12.1.5. The Bid Bond copy shall be included in the commercial bid and the Original shall be submitted to the University office physically. The cost of the Bid Bond shall be borne by the TENDERER(S).

5.12.1.6. The University shall return to unsuccessful TENDERER(S) their Bid Bond within thirty (30) calendar days after the receipt of a formal acceptance from the successful TENDERER(S).

5.12.2. Performance Bond

5.12.2.1. The Performance Bond, the cost of which shall be borne by Contractor, shall be to secure the Contractor's obligations under Contract, notwithstanding any variations, alterations or extensions of time that shall be given or agreed upon.

5.12.2.2. For an Contract/Order that requires an unconditional and irrevocable Performance Bond with 5 to 10% of the Order/Contract value, to be submitted by the Contractor in accordance to the approved format of Performance Bond.

5.12.2.3. In case the Contractor fails to perform the task as per the Contract/order schedule, the University will have the right to investigate the guarantee.

5.12.3. Warranties

5.12.3.1. Warranties shall always be defined. They must be part of the RFQ, quotations, and terms and conditions of each POs/Contract.

5.13. *Sustainability and Social Responsibilities*

5.13.1. The Procurement and Contracts Department ensures that fair and ethical sourcing practices are applied and that suppliers comply with socially responsible practices, including legislative obligations to employees.

5.13.2. The procurement activities, tenders documents and tender evaluation should consider quality and measurement standards, development sustainability, environmental protection, SME support, and local economy support. A preference is always given to vendors who apply sustainability measures. Sustainability measures should be considered as part of evaluation parameters.

5.13.3. Sustainability should be incorporated into all “Acquisition” activities. Sustainable Procurement looks over and beyond the up-front cost of purchasing decisions. It considers the entire life cycle of the goods and services, and precisely takes into account all associated costs, socio-environmental risks and benefits, and other broader implications.

5.13.4. The supply market is encouraged to innovate in order to reduce environmental impacts and/or enhance social benefits through the product/service life cycle.

5.14. *E-Tendering*

5.14.1. All Purchases Requisitions (PR) should be processed through an e-Tendering platform. In justified cases, the Procurement and Contracts Department may process a manual RFQ/Tendering, subject to Director of P&C approval.

5.14.2. The selected e-Tendering software/platform is audited annually to verify that tasks are being performed as per the defined policies and procedures.

5.15. *Material Management*

5.15.1. Khalifa University of Science and Technology has a central store in Khalifa University campus and sub stores in Sas Al Nakhl & Masdar Institute campuses.

5.15.2. Stores Management is responsible for Delivery Follow-up and Process Reports. Orders that are pending and require progress status updates from internal and external entities are communicated on regular basis till the completion of delivery/installation

5.15.3. Receiving and Inspection

5.15.3.1. All purchased items (inventory and non-inventory) are initially delivered to the designated material management store/warehouse and assigned an item code.

- *Fixed Assets* - All items procured using capital budget and valued above AED 1,000 or as defined in the Delegation of Authority are registered to the Fixed Assets Management System (FAMS) upon reception and acceptance before being dispatched to the end user.
- *Inventory Items* – Inventory items are received and registered as a stock item in the approved system and placed in the store.

5.15.4. Issue of Inventory Items

5.15.4.1. Inventory items shall be issued only against approved request in ADERP.

5.15.4.2. With the approval of manager/supervisor, items can be issued by manual delivery notes if items are business critical and online request is in process.

5.15.5. Inter-Stores Transfer

5.15.5.1. Items may be transferred between stores upon approved Inter Store Transfer requests (ISTV), subject to availability of stock and urgency.

5.15.6. Re-order Levels

5.15.6.1. Reorder levels must have a maximum and minimum reorder level. These shall be adjusted periodically upon approval from Manager/Supervisor to maintain minimum threshold.

5.15.7. Disposal of Items

5.15.7.1. The Material Management unit will initiate the process identification of items for disposal. Specific procedures to be followed are provided in the P&C Operations and Procedures Manual and must be in compliance with the provisions of *KUP 6500 Fixed Assets, para 5.5*.

5.16. *Business Ethics*

5.16.1. The acquisition of goods and services is governed by the university's Code of Conduct (see *HR Policy Manual, Chapter 9 Employee Relations, Section 02 University Code of Conduct*).

5.16.2. All employees observe professional and business ethics and are committed to the following:

5.16.2.1. To report to management any dishonest or illegal practice and any information about actual or potential conflict-of-interest situations;

5.16.2.2. To observe Abu Dhabi and UAE laws and regulations and university policies, procedures and regulations and refrain from committing any activity prohibited by such laws, regulations, policies or procedures;

5.16.2.3. To comply with the Executive Council's Decisions Nos. (1/A) & (1/B) – Session No. 35/1980, prohibiting certain commercial activities for UAE and non–UAE National employees;

5.16.2.4. To be aware of institutional policies, systems, procedures and guidelines as relevant to their work and apply those policies, systems, procedures and guidelines at all times;

5.16.2.5. The University shall not acquire goods from an employee, from anyone who is directly or indirectly related to an employee, or from a corporation, firm or other business which an employee, or someone directly or indirectly related to an employee is a controlling shareholder or owner;

5.16.2.6. An employee shall not take advantage of their own positions in the University, or information they may have, for their personal benefit or for the benefit of any other party;

5.16.2.7. The End User is not allowed to directly or indirectly contact or communicate with a Supplier/Contractor or their indirect representatives during the period in which an EOI/RFQ/Tender has been released into the market for tendering purposes, unless via the concerned Contracts or respective officer.

5.16.3. <u>Gifts and Entertainment</u>

5.16.3.1. All University employees carry out their duties with honesty and integrity and refrain from soliciting or accepting gifts, donations, commissions, loans or bribes from any party which has business relations with the University.

5.16.3.2. Receiving reasonable business-related products, marketing materials and minor entertainment opportunities such as sporting events, theatre tickets, movie tickets, etc. below the cost of AED 500 (as per the University Code of Conduct) are permitted so long as discretion applies.

5.16.3.3. Business gifts, services, and hospitality or travel related gifts, other than items of very small value, are not to be personally accepted (by self or family). Generally this includes such items as vacations, stays

at resorts, exclusive clubs, flights, exclusive conferences or events, money, or actual gifts such as electronic equipment, etc.

5.16.4. Confidentiality of Information

5.16.4.1. Transactions relating to procurement activities are of a confidential nature and should be treated as such. All confidential information and documentation is kept in strict confidence and not disclosed without appropriate authority.

5.16.4.2. All documentation within the P&C department is maintained in a confidential manner with restricted access to authorized employees only.

5.16.4.3. Each bidder in a tender process is required to enter into a confidentiality agreement with the University, signing a form approved by the University Legal Department prior to receipt of any tender. The terms of the confidentiality agreement will prohibit bidders from sharing competitive and/or confidential information with each other.

5.16.4.4. Terms of the confidentiality agreement also apply to, amongst other confidential information as defined therein, the information provided in and in conjunction with the tender document submitted by the University. Failure to enter into or a breach of the terms of the confidentiality agreement will result in a bidder's immediate disqualification from the tender process.

5.17. *Disciplinary Actions*

5.17.1. Failure to abide by the above code of conduct and its guiding document or the confidentiality agreements will result in disciplinary action as per Khalifa University Disciplinary Code (*HR Policy Manual, Chapter 9, Section 04 Disciplinary Code*).

5.18. *Exceptions*

5.18.1. Anything which is not specified in this policy document or in case of any deviation from the defined policy and provisions due to the unforeseen circumstances, management approval shall be obtained with detailed justification/explanation as per the Delegation of Authority.

SECTION 6 RESPONSIBILITIES

6.1. The Procurement and Contracts Department has full authority and responsibility to ensure that Procurement and Contracts policies, provisions and processes are followed across the University's purchasing activities.

6.2. The Procurement and Contracts Department is responsible for conducting sourcing, price analysis and coordination of delivery schedules on behalf of the University.

6.3. It is the responsibility of the Procurement and Contracts Department to ensure that the most appropriate sourcing criteria are applied for the best interest of the University.

The online version of this policy document is definitive.

6.4. Procurement Governance

Sr.	Procurement Governance	Applicable for
1	Financial delegation authority	For all purchases
2	Tender and auction committee endorsement	For purchase value exceeding AED 250,000.00
3	Bid bond	For PR/ tenders values AED 1 million and above.
4	Three quotes (sealed)/ (separate technical & commercial)	For all purchases above AED 25,000.00
5	Bid opening by the committee.	For purchase values above AED 250,000.00
6	Minimum three commercial bids	For all purchases above AED 25,000.00
7	Less than three commercial bids	For All purchases below and equal to AED 25,000.00
8	Tender opening committee	For purchases above AED 250,000.00
9	Technical acceptance	For all purchases.
11	Material acceptance by End User	For all purchases
12	Goods received note (GRN) / Receipt Inspection Report (RIR) and Acceptance	For all material purchases

SECTION 7 REVIEW STATEMENT

7.1. This policy document is reviewed once every two (2) years, or more frequently upon request of the Executive Vice President or subsequent to published changes in governing documents or federal laws.

7.2. Law no. (6), law (6)-2008 (as amended), Govt. of Abu Dhabi supersedes this document in areas of disagreement.

SECTION 8 APPROVAL AUTHORITY AND REVISION HISTORY

This policy document has been approved by the Khalifa University of Science and Technology's Board of Trustees. Original documentation is on file in the Office of the President. The online version is definitive.

First disseminated by the Office of the President on 01 January 2018
Most Recent Review: 01 January 2018
Revision History:

Revision No.	Effective Date	Description
2		
1		
0	01 January 2018	Policy document first adopted.

Next scheduled review: 01 January 2022

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